04.[25] Much of this aid has been invested in large-scale infrastructure projects focused on transportation, with the share of economic infrastructure in Japan's ODA to India rising from 25 percent in 2005 to 90 percent in 2013 (while social sector aid simultaneously declined from 39 percent to 5 percent).[26] In August 2014, Abe pledged another raft of infrastructure investment amounting to US$35 billion over five years. The high-speed rail project between Mumbai and Ahmedabad is but one high-profile piece of a much larger set of infrastructure projects funded through Japanese loans and grants in India. The Indian government, for its part, has gone to great lengths to develop the capacity to channel and absorb Japanese investment. Institutional innovations such as the Japan Plus cell in the Department of Industrial Policy and Promotion provide investment facilitation services for Japanese firms, which – unlike their Korean counterparts – have traditionally found it difficult to operate in the Indian business and regulatory environment. The government has developed ambitious plans for industrial corridors between major cities, high-speed railways, highways, and basic infrastructure in special economic zones along these corridors that might attract Japanese manufacturing enterprises. Long-term investments in the backbone of economic production are likely to pay off by enhancing the manufacturing potential of Indian industry and thereby helping to maintain a healthy rate of economic growth.

Viewed this way, India's engagement with Japan can be seen as a strategy of long-term internal balancing – or the gradual build-up of economic power that can be simultaneously channelled into military power – against a potential threat from an adversary, be it China or Pakistan. This policy is evident in the realm of defence equipment, where India has sought to negotiate technology transfer and co-production agreements with Japan in order to learn from and integrate sophisticated Japanese systems and designs